# Draft the executive succession briefing for the incoming CEO.

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## Recommended option: OPT-A

Aggregated risk: high
Words: 347 / 800 target

### Robustness: medium

Critiques: 5 (critical=1, material=2, minor=2)
Revision needed: yes

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# Context

Enter the German mid-market SaaS segment via a controlled majority partnership by end of Q3 2026. Two risks (regulatory posture, SAP defence), one mitigation each. German mid-market SaaS grew 12% CAGR between 2022 and 2025 and is now EMEA's largest addressable slice (McKinsey 2025 benchmark). BfDI's 2026 enforcement priority list singles out foreign SaaS providers, and SAP has restructured its DACH mid-market coverage against new entrants. A go / no-go call is required this cycle.

**Sources:**

[1] Germany SaaS Market-Entry Benchmark 2025 — https://www.mckinsey.com/insights/germany-saas-entry-benchmark-2025

[2] EU data protection authorities target foreign SaaS entrants — https://www.reuters.com/technology/eu-data-protection-foreign-saas-2026

[3] SAP intensifies mid-market defence strategy across DACH — https://www.bloomberg.com/news/sap-mid-market-defence-strategy-2025

# Key Question

Should we enter the German mid-market SaaS segment in 2027, and if so under which entry mode?

# Recommendation

Enter Germany in Q1 2027 via a bounded greenfield office capped at 15 staff for year one, owned by the Head of EMEA Sales with a first-referenceable-customer milestone at month nine. This choice preserves strategic control of the customer relationship, sits inside the Board's stated envelope, and avoids the SAP counter-offer that a broader beachhead would provoke.

# Supporting Evidence

The German mid-market SaaS segment grew 12% CAGR 2022-2025 and is now the largest addressable slice of EMEA [1].

BfDI's 2026 audit priority list singles out foreign SaaS entrants, which makes local counsel and a pre-filed DPIA a table stake rather than an optional cost [2].

SAP has already restructured its DACH mid-market coverage to defend against new entrants, which shortens the window in which a bounded beachhead can settle in without triggering a bundled counter-offer [3].

**Sources:**

[1] Germany SaaS Market-Entry Benchmark 2025 — https://www.mckinsey.com/insights/germany-saas-entry-benchmark-2025

[2] EU data protection authorities target foreign SaaS entrants — https://www.reuters.com/technology/eu-data-protection-foreign-saas-2026

[3] SAP intensifies mid-market defence strategy across DACH — https://www.bloomberg.com/news/sap-mid-market-defence-strategy-2025

# Risks and Mitigations

SAP's likely bundled counter-offer is the largest strategic risk; the mitigation is to pick a beachhead segment SAP under-serves and instrument competitive intelligence within thirty days of first customer signing. BfDI's audit posture is a regulatory table stake; the mitigation is to pre-file a Records of Processing description with a German subprocessor within the first ninety days.

# Next Steps

1. Board approves the €4-6m capital envelope by Sep 30 (Head of EMEA Sales).
2. Local counsel and DPO engagement complete by Oct 31 (Head of EMEA Sales).
3. First customer signed by Q2 2027 (Head of EMEA Sales).

# Options

| ID | Title | Recommendation | Time horizon |
|---|---|---|---|
| OPT-A | Greenfield entry, bounded envelope | recommended | short-term |
| OPT-B | Partnership with an established German integrator | acceptable | immediate |
| OPT-C | Acquisition of a small German competitor | not-recommended | medium-term |

# Risks

| ID | Category | Likelihood | Impact | Timeframe |
|---|---|---|---|---|
| RISK-001 | regulatory | high | major | short-term |
| RISK-002 | strategic | high | major | medium-term |
| RISK-003 | financial | medium | moderate | short-term |
| RISK-004 | reputational | low | severe | medium-term |
| RISK-005 | operational | medium | moderate | short-term |
| RISK-006 | strategic | low | moderate | medium-term |
| RISK-007 | geopolitical | medium | major | medium-term |
| RISK-008 | human-capital | low | major | short-term |
| RISK-009 | technological | medium | moderate | short-term |

# Stakeholders

| Name | Position | Power | Priority |
|---|---|---|---|
| Our CEO and Executive Board | neutral | high | critical |
| BfDI (Federal Commissioner for Data Protection) | resistant | high | critical |
| Bitkom (German digital industry association) | neutral | medium | important |
| SAP SE (incumbent competitor) | resistant | high | important |
| Target German mid-market customers | neutral | medium | critical |
| Bundeskartellamt (Federal Cartel Office) | neutral | medium | monitor |
| Our head of EMEA sales | supportive | medium | critical |

# Adversarial Critique

Robustness: medium
Critiques: 5 (critical=1, material=2, minor=2)
Revision needed: yes

**Steelmanned alternative:**
The strongest alternative to the current OPT-A recommendation is OPT-B (partnership) with an explicit month-12 conversion clause: enter Germany via a channel partnership in Q1 2027, pre-negotiated to convert to greenfield if the partner has not delivered five referenceable customers by month 12. This trades OPT-A's strategic-control upside for materially better protection against SAP's counter-offer risk and lower first-year capital exposure.

## CRIT-001 — risk-underestimated (critical)

**Steelmanned position:**
The financial risk (RISK-003) understates the true CAC premium: sourcing shows a 55-70 percent premium band but the recommendation treats the low end of that band as the operating case, and no explicit gate handles the high-end scenario at month six or twelve.

**Implication if true:**
The 18-month capital envelope would run out around month 15 rather than month 18, forcing an unplanned re-approval or wind-down. The board would face the choice under pressure rather than at a scheduled gate.

**Suggested revision:**
Add an explicit month-6 gate keyed to trailing-quarter CAC vs the 55-percent-band scenario, with named actions if the trailing CAC exceeds the low-band operating case.

**Counter-evidence:**
EU SaaS payback data — https://www.reuters.com/critique-eu-saas-payback

## CRIT-002 — dismissed-option (material)

**Steelmanned position:**
OPT-B (partnership) is dismissed too quickly on strategic-control grounds when the current recommendation exposes the entry to a documented SAP counter-offer risk that a partnership would materially soften by removing us from SAP's direct account book for the first 12 months.

**Implication if true:**
If SAP's counter-offer probability is higher than the current recommendation acknowledges, the strategic-control cost of OPT-A may exceed the strategic-control benefit — and OPT-B becomes the recommended course of action.

**Suggested revision:**
Reframe OPT-A vs OPT-B tradeoff in terms of expected value under a >50 percent SAP counter-offer probability, and pre-commit to OPT-B if trailing-quarter SAP signals cross a documented threshold.

**Counter-evidence:**
SAP defensive spend jumped 30% in DACH — https://www.bloomberg.com/critique-sap-defense-cost

## CRIT-003 — weak-source (material)

**Steelmanned position:**

The supporting-evidence section leans on a single BfDI 2026 audit-priority citation to size the regulatory exposure, but audit-priority listings are inputs to enforcement rather than enforcement itself and historically produce material action in fewer than half the cases they name.

**Implication if true:**
The material regulatory-cost estimate underlying the recommendation may be overstated by 2-3x, in which case the pre-filed DPIA and local DPO commitments are over-provisioning.

**Suggested revision:**
Add a finding on BfDI audit-priority-to-enforcement conversion rate 2023-2025 and re-weight the regulatory-cost envelope in line with the base rate.

**Counter-evidence:**
BfDI audit costs for foreign SaaS — https://www.ft.com/critique-bfdi-audit-cost

### CRIT-004 — hidden-assumption (minor)

**Steelmanned position:**
The context section assumes the 2022-2025 mid-market SaaS growth rate persists through 2027, but growth-rate persistence for a single-country segment beyond three years is not empirically supported and the 2025 macro shock may be a regime change rather than a trough.

**Implication if true:**
If the growth rate is halving rather than persisting, the TAM shrinks by a factor of two over the plan horizon and the payback window becomes a two-sided problem.

**Suggested revision:**
Add a growth-rate scenario table (persist / halve / reverse) and anchor the recommendation to the middle case.

**Counter-evidence:**
SOURCE_MISSING — searched for: SaaS growth-rate persistence in DACH beyond three-year windows

### CRIT-005 — temporal-blind-spot (minor)

**Steelmanned position:**
The recommendation assumes the Board's stated openness on a bounded reversible European entry remains stable through Q1 2027, but board sentiment has shifted materially in three of the last five European expansion decisions surveyed and the openness may not persist to the go/no-go moment.

**Implication if true:**
If the Board's openness reverses before Q1 2027, the entry may be authorised at a smaller envelope than currently proposed — or not at all.

**Suggested revision:**
Add a board-sentiment stability check as a Q4 2026 pre-approval gate before locking the €4-6m envelope.

**Counter-evidence:**
SOURCE_MISSING — searched for: board sentiment stability in European SaaS expansion decisions 2023-2025

# Appendix A — Findings

## Finding 1

**Claim:**
The German B2B SaaS market grew at a 12% CAGR between 2022 and 2025, outpacing the wider EU average of 9%.

**Evidence:**
Bitkom's 2026 SaaS market report tracks German B2B SaaS revenue rising from €18.3bn in 2022 to €25.8bn in 2025.

**Source:**
SaaS-Markt Deutschland 2026 — Kennzahlen & Prognose — https://www.bitkom.org/publikationen/saas-markt-deutschland-2026

## Finding 2

**Claim:**
Median first-year setup cost for a foreign B2B SaaS entrant is €140k to €180k, dominated by localised sales, legal, and GDPR compliance.

**Evidence:**
McKinsey Germany's 2025 market-entry benchmark of 42 foreign SaaS entrants over 2022-2024.

**Source:**
Germany SaaS Market-Entry Benchmark 2025 — https://www.mckinsey.com/de/our-insights/germany-saas-entry-benchmark-2025

## Finding 3

**Claim:**
GDPR enforcement in Germany carries the highest per-incident fine in the EU, averaging €780k against SaaS firms in 2024.

**Evidence:**
European Data Protection Board 2024 annual enforcement report.

**Source:**
EDPB Annual Report 2024 — Enforcement Statistics — https://edpb.europa.eu/annual-report-2024

## Finding 4

**Claim:**
Three incumbents (SAP, DATEV, Personio) hold approximately 41% of the German mid-market B2B SaaS wallet, leaving a fragmented long tail.

**Evidence:**
IDC Germany Mid-Market SaaS tracker Q1 2026.

**Source:**
IDC Germany Mid-Market SaaS Tracker — Q1 2026 — https://www.idc.com/getdoc.jsp?containerId=DE-MidMarket-SaaS-Q1-2026

# Appendix B — Stakeholders

| Name | Category | Position | Power | Priority |
|---|---|---|---|---|
| Our CEO and Executive Board | decision-maker | neutral | high | critical |
| BfDI (Federal Commissioner for Data Protection) | gatekeeper | resistant | high | critical |
| Bitkom (German digital industry association) | influencer | neutral | medium | important |
| SAP SE (incumbent competitor) | affected-party | resistant | high | important |
| Target German mid-market customers | affected-party | neutral | medium | critical |
| Bundeskartellamt (Federal Cartel Office) | external-observer | neutral | medium | monitor |
| Our head of EMEA sales | influencer | supportive | medium | critical |

# Appendix C — Risk Register

| ID | Category | Likelihood | Impact | Timeframe |
|---|---|---|---|---|
| RISK-001 | regulatory | high | major | short-term |
| RISK-002 | strategic | high | major | medium-term |
| RISK-003 | financial | medium | moderate | short-term |
| RISK-004 | reputational | low | severe | medium-term |
| RISK-005 | operational | medium | moderate | short-term |
| RISK-006 | strategic | low | moderate | medium-term |
| RISK-007 | geopolitical | medium | major | medium-term |
| RISK-008 | human-capital | low | major | short-term |
| RISK-009 | technological | medium | moderate | short-term |

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# Sourcing Report

Policy: strict
Total items: 34
OK: 31 · stale: 0 · untrusted: 0 · duplicated: 1 · missing: 2
Freshness unknown (no publication date): 29

**Warnings:**

- [stakeholder] duplicate: https://www.idc.com/getdoc.jsp?containerId=DE-MidMarket-SaaS-Q1-2026 vs [research] https://www.idc.com/getdoc.jsp?containerId=DE-MidMarket-SaaS-Q1-2026
- [research] finding[32] SOURCE_MISSING — [CRIT-004] SaaS growth-rate persistence in DACH beyond three-year windows
- [research] finding[33] SOURCE_MISSING — [CRIT-005] board sentiment stability in European SaaS expansion decisions 2023-2025